



# Managing capacity

In terms of production, capacity means how much work can be achieved in a given time. Ideally, a business matches its capacity to customer demand, using its resources with maximum efficiency.

## How it works

Every business has to consider how much capacity it needs for its operation, and how to manage this capacity both day-to-day and in the future. Management has to choose a priority: whether to deliver excellent customer service by having extra capacity, and thus price its products or services high; or to manage its resources efficiently for a better return on investment, at the risk of disappointing customers

if and when demand goes beyond capacity.

Businesses may offer consumers incentives to help manage capacity—for instance, cheaper late-morning train fares encourage passengers to travel after rush hour, easing overcrowding on trains that are full to capacity in the early morning. Likewise, many hotel chains do not charge a fixed price for rooms, pricing them according to demand to maintain capacity.

## Capacity decisions

The fundamental decision is whether to compromise on demand or capacity—whether to put customers or the streamlining of operational costs first.

